JULY 27, 2023

CITY OF GRAND RAPIDS GENERAL RETIREMENT SYSTEM

CITY OF GRAND RAPIDS POLICE AND FIRE RETIREMENT SYSTEM

INVESTMENT CONSULTANT SERVICES

REQUEST FOR PROPOSAL ("RFP")

RE: INVESTMENT CONSULTING SERVICES

The City of Grand General Retirement System and the City of Grand Rapids Police and Fire Retirement System (collectively the "Plan") are requesting proposals for Investment Consulting Services by **4:00 P.M. on Thursday, August 31, 2023.**

I. OVERVIEW

The Boards of Trustees of the City of Grand Rapids General Retirement System and City of Grand Rapids Police and Fire Retirement System (collectively the "Board") are in the process of reviewing their investment consultant services. The purpose of this RFP is to gain adequate information from which the Boards may evaluate such services. This RFP includes detail on general (non-discretionary) and discretionary (OCIO) services. Firms are asked to submit proposals for either, or both, as appropriate.

Further information about the Plan is available at https://grpensions.org/.

City of Grand Rapids General Retirement System

The City of Grand Rapids General Retirement System has a total market value of approximately $437 Million as of June 30, 2023.

The Plan's portfolio consists of approximately: 24% fixed income; 17% U.S. equity; 10% global equity; 8% non-U.S. equity; 8% ADRs; 8% private equity; 5% treasury inflation-protected securities; 5% real estate (REITs); 5% commodities; 5% mid-stream energy; and 5% private credit.

City of Grand Rapids Police and Fire Retirement System

The City of Grand Rapids Police and Fire Retirement System has a total market value of approximately $479 Million as of June 30, 2023.

The Plan's portfolio consists of approximately: 23% fixed income; 19% U.S. equity; 10% global equity; 8% non-U.S. equity; 9% ADRs; 7% private equity; 5% treasury inflation-protected securities; 5% real estate (REITs); 5% commodities; 5% mid-stream energy; and 4% private credit.

Northern Trust currently serves as custodian for the Plan's assets.

A. SCOPE OF SERVICES

The primary role of the Investment Consultant is to provide objective, third-party advice and counsel that will enable the Board to make well-informed and well-educated decisions regarding the investment of Plan assets.

Contractual services for investment consulting will include, but not be limited to, the following:

1. **Development Investment Policy, Objectives and Guidelines**

   Assist the Board in the development and periodic review of a policy statement that properly reflects the Board's tolerance for risk and that best helps the Board meet its rate-of-return, funded status and administrative expense objectives.

2. **Asset Allocation Studies**

   Conduct periodic asset allocation studies to determine whether or not the current asset allocation falls within the Board's investment objectives and guidelines.

3. **Investment Manager Search**

   When deemed necessary, assist the Board in its due diligence and search for new investment manager(s) utilizing the appropriate data base.

4. **Development of Investment Manager Performance Standards/Guidelines**

   Assist the Board in the development and review of performance standards and guidelines with which the Board can measure each investment manager's progress. Attend monthly meetings or special meetings as requested by the Board.

5. **General Consulting Services**

   Provide general consulting services as requested by the Board. These might include custodial search and selection, etc.

6. **Performance Measurement & Monitoring**

   Monitor the performance of the investment manager(s) to provide the Board with the ability to determine the manager's progress toward achieving the Board's investment objectives. Prepare and provide written quarterly reports submitted to the Board.

7. **Monitor compliance with Act 314**

Monitor the investment of the Plan's assets consistent with the limitations under Public Act 314 of 1965, as amended, with written quarterly reports submitted to the Board.

8. **Assist in Fund Diversification/Asset Management**

Assist the Board in the development of an investment manager structure that provides adequate diversification with respect to the number and types of investment managers to be retained by the Board.

9. **Historical Information Related to Specific Holdings**

Upon request, provide information regarding the holdings, sale and purchase of specific equities in order to complete proof of claims related to securities litigation.

10. **Discretionary Investment Management Services (OPTIONAL)**

Fully discretionary investment management services, should the boards opt to enter into an OCIO agreement.

B. MINIMUM REQUIREMENTS

1. The Investment Consultant must have a minimum of five (5) years of experience in providing institutional investor consulting services.

2. The Investment Consultant must provide services to at least one (1) public employee retirement system with at least $250 million in assets.

3. The Investment Consultant must be a registered investment advisor under the Investment Advisors Act of 1940.

4. The Investment Consultant shall acknowledge its responsibilities as an investment fiduciary under Public Act 314 of 1965, as amended.

5. If you are affiliating or partnering with a national firm, or are a local office of a national firm, the minimum qualification requirements herein must be satisfied by the individual or entity submitting this proposal.

6. The Investment Consultant must attend regular meetings, as well as special meetings upon request by the Board, at no additional cost to the Plan.

   The Board currently meets nine times per year.

C. SUBMISSION REQUIREMENTS

To achieve a uniform review process and obtain the maximum degree of comparability, it is required that the submission be organized in the following manner:

1. Title Page:

   Please indicate the RFP subject, the name of your organization, address, telephone number, name of contact person and date.

2. Table of Contents:

   Clearly identify the material by section and page number.

3. Response to Request for Proposal:

   Please respond to each question in order of sequence in the Request for Proposal (Section II).

4. Submission:

   The Board requests that one (1) copy of your response be submitted to the Plan in a sealed envelope clearly marked as follows:

   RFP: Investment Consulting Services
   City of Grand Rapids Retirement Systems
   233 East Fulton, Suite 216
   Grand Rapids, Michigan 49503

   The Board also requests that an electronic copy of your response be provided via email to:

   Peggy Korzen, Executive Director: info@grpensions.org

   Thomas Michaud, Legal Counsel: tmichaud@vmtlaw.com

   All questions about this RFP must be submitted in writing no later than seven (7) days prior to the due date for proposals and shall be directed to Peggy Korzen, at the email address provided above. All questions received after the deadline established herein shall not be considered.

   Please indicate your intent to respond, via email to info@grpensions.org, no later than 4:00 p.m. on Tuesday, August 15, 2023.

   Your response to this RFP must be received at the above address **by 4:00 p.m. on August 31, 2023.** Late RFP responses will not be considered or accepted.

II. REQUEST FOR PROPOSAL – Please label each response with the corresponding question's section and number.

A. FIRM INFORMATION

1. Name of your firm, its address, telephone number, and primary contact for the request for proposal. Give the names of the persons who will be authorized to make presentations for your organization, their titles, addresses, and telephone numbers.

2. Briefly state your organization's understanding of the nature of the work.

3. Is your organization a subsidiary, parent, or affiliate of any other firm? If so, please describe in detail. Also, do any of these affiliates provide any other retirement plan services such as investment management, actuarial work, custodial, etc.? If you provide more than one service, how do you protect against conflicts of interest? Have you ever included your own firm, subsidiary or sponsored investment vehicle in a manager search you are conducting?

4. What is the number of full-time employees in your firm? How many professionals have separated employment from your company in the last 3 years?

5. What is the location of your nearest office to the City of Grand Rapids?

6. Please submit biographical profiles on the individual(s) who will be assigned to our account. Also, where are these individuals located? Who will attend meetings? Be specific as to the individual's consulting experience.

7. What public funds experience does your firm have? Provide a list of all public pension fund clients under contract to date. Please provide a minimum of 3 references by name of client, type of client, contact person, address and telephone number. Please populate the table below as of 6/30/2023. If a different date is used, please note the as of date.

	National	Michigan
# Plans $1,000,000,000 and greater		
# Plans $250,000,000 to $999,999,999		
# Plans $100,000,000 to $249,999,999		
# Plans $0 to$99,999,999		
Total Public Fund AUA		

8. Has your firm has lost any clients in the last 3 years? If so, please explain and indicate whether the client was discretionary or non-discretionary.

9. Please explain size, composition, and source of your performance measurement data base. What indices are used for relative comparisons? If you do not maintain databases, whose database do you use?

10. Why is your firm uniquely qualified to service our account(s)?

11. Disclose all formal or informal business relationships with investment managers or other service providers to trust funds.

12. Provide as an attachment to your response a complete copy of your most recent form ADV as filed with the Securities and Exchange Commission.

13. What is your firm's position on commission recapture programs and how would the Plans' participation in such programs impact your services?

14. Is your firm a member of the Michigan Association of Public Employee Retirement Systems (MAPERS)?

15. Would your firm provide an on-site due diligence visit as a part of the evaluation process? If yes, please detail and provide a sample agenda.

B. INVESTMENT POLICY/ASSET ALLOCATION GUIDELINES

1. Provide an outline of the steps you would follow when developing a statement of Investment Policy and Objectives. Does your investment policy and asset allocation analysis fully integrate liabilities with assets? How do you interface with the Plan's actuary?

2. How many meetings would be required with the Board throughout this process? Who would attend from your firm?

3. Provide an outline of the issues and items that would be covered in a typical investment policy statement.

4. What is your approach to development of asset allocation guidelines? Please describe this process in detail, including application of major variables (e.g. - risk tolerance, emerging liabilities, etc.).

5. What asset classes are included in your work?

6. What geographic areas of the world do you consider appropriate for Plan asset investments?

7. Does your approach include passive strategies such as indexing? If so, please describe.

C. INVESTMENT MANAGER SELECTION

1. What is the procedure and criteria you follow in the selection of investment managers? What is the typical timeframe from start to finish?

2. How many firms do you track for manager search purposes?

3. Do the individual consultants assigned to our account interface with prospective managers? If so, please explain your due diligence process.

4. What resources do you utilize for manager screening? Which are purchased and which are proprietary?

5. Explain how you monitor and measure the level of success of existing managers. Please be specific.

6. What criteria is used to recommend termination of a manager?

7. Do you believe that when a manager is not performing that the consultant who presented this manager also be held accountable? If so, how? If not, why?

8. Do you have any arrangements with broker-dealers under which you or a related company will benefit if money managers place trades for their clients with such broker-dealers?

D. PERFORMANCE EVALUATION

1. Specifically describe your performance evaluation system and the philosophy behind it. Is your system propriety or did you obtain it from another supplier?

2. How soon following the end of a reporting period can you have copies of evaluation reports to the Plan? How frequently do you recommend performance evaluation reviews?

3. Provide samples of your standard reports. How much variation is available from your standard report?

4. Describe and illustrate any special indices constructed by your firm.

5. Please describe, in detail, the optimal role that your firm would like to take with the Plan. What other services are provided to your clients?

6. Please provide 1, 3, 5 and 10 year performance results on an annualized (calendar year) basis for 3 of your non-discretionary public employee plan clients. If possible, these clients should include all Michigan public employee plans. The performance results should be based upon the period

in which you served as the investment consultant and include, at a minimum, total fund performance on an annualized basis as of December 31, 2022 with a comparison against the appropriate policy index. Said performance results may also include a breakdown of fund performance by asset class with the appropriate benchmark index and peer group rankings. Please identify each client by the size of its total plan assets, its asset allocation and the state in which it is located. You may also provide any appropriate commentary explaining over/under performance and your role in the investment process.

7. Does your firm complete "proof of claim" documents on behalf of clients in securities actions? Is there a fee for this service?

8. How would you recommend the Board evaluate its investment consultant?

9. How does your firm monitor brokerage services? (i.e., best cost and execution)

E. CUSTODIAL SERVICES

1. Does your firm provide custodial services? If so, please provide details.

F. DISCRETIONARY INVESTMENT MANAGEMENT SERVICES

1. Do you provide discretionary investment management services (i.e., OCIO)? If yes, please answer the following questions.

2. How long has your firm offered discretionary services? What portion of your firm's revenue comes from discretionary/OCIO?

3. Indicate the total pension assets currently under discretionary management by your firm, and the total pension assets currently under non-discretionary advisement by your firm.

4. Describe your firm's investment philosophy and strategy including, but not limited to, research efforts, account construction guidelines, risk control techniques and rebalancing strategy.

5. Describe how you would factor the Plan's investment goals and risk preferences into your firm's approach.

6. Explain your firm's view on passive versus active management. What is your firm's recommended allocation, if any, between active and passive management?

7. Briefly summarize your philosophy regarding the overall level of cash you typically maintain in a pension portfolio.

8. Please provide an overview of your current portfolio positioning, and indicate how long you have held those views. Do your OCIO clients follow a model portfolio, or are portfolios custom to each client?

9. Describe your firm's experience with alternative asset classes, including private equity, private credit, and similar alternative investments.

10. Describe the role you expect alternative asset classes to play in the portfolio.

11. What trade-offs do you typically see between public and private market allocations? Please make sure that your answer reflects the current market environment and investment landscape.

12. How are plan liabilities incorporated into your firm's asset allocation process? Describe your connectivity with the Plan's actuary.

13. Describe your customary range of target allocations for equities, fixed income and alternative assets currently being recommended to clients with underfunded / overfunded pension plans.

14. Briefly identify the three attributes of your firm's manager research philosophy and process that lead you to identify superior performing managers. This is intended to go beyond the traditional description of people, philosophy, process and performance and into the resources, tools and approach that allow you to select managers that can create alpha.

15. When transitioning a plan's assets for a new client/account, does your firm liquidate current holdings and transition in cash? How do you handle existing illiquid investments such as private equity and private real estate?

16. Please describe your policies and procedures concerning trading and execution, including those relating to (i) how your firm seeks to achieve best execution; (ii) how your firm ensures equitable trading for all clients (i.e., the account of one client is not favored above the account of another) and exceptions to this policy, if any; (iii) allocation of trades (e.g., by portfolio manager or automated).

17. What do you see as the pros and cons of a discretionary investment manager versus a non-discretionary investment fiduciary?

18. Who is your current fiduciary bond carrier?

19. Provide a copy of your disaster recovery plan.

20. Provide a copy of your business conduct/ethics policy.

21. Indicate the policies and procedures your firm has established to ensure

compliance with your clients' investment policy statements and guidelines you may have adopted to ensure quality control over the asset management process.

G. FEES

1. Please indicate in detail your fee schedule (e.g., investment performance analysis services, asset allocation, investment policy, manager search, custodial search, custodial services, etc.).

   If your firm provides discretionary investment management services, please provide specific cost details.

   If your fee is based on a percentage of Plan assets, please also quote your service on a hard dollar basis.

2. Would you charge separately for travel expenses? If so, explain in detail your policy.

3. What other costs or expenses might we incur with your firm?

4. Do you offer payment on a pro rata quarterly basis billed in arrears?

5. If services are also quoted on a soft dollar basis, what is the cost in cents per share? What is the commission to cash conversion ratio? Also, how do you report to a client on soft dollars received?

6. What percentage of typical equity managers trades do you feel should be used for client directed brokerage purposes?

7. Please provide all complaints received by the Securities and Exchange Commission (SEC) and the National Association of Securities Dealers.

8. Has your firm been involved in litigation within the last five years or is there any pending litigation arising out of your performance? If your answer is yes, explain fully.

9. Has your firm been investigated by any state or federal regulatory or law enforcement agency in the last ten years? If yes, please describe in detail the substance and results of each such investigation.

10. Has your organization been a party to any lawsuit, including suits involving misfeasance or professional negligence, within the last ten years? If so, please describe the substance and results of each suit.

11. Are you registered with the SEC or a state securities regulator as an investment adviser? If so, have you provided all the disclosures required under those laws?

12. Do you or a related company have relationships with money managers that you recommend, consider for recommendation, or otherwise mention to the plan for our consideration? If so, describe those relationships?

13. Do you or a related company receive any payments from money managers you recommend, consider for recommendation, or otherwise mention to the plan for our consideration? If so, what is the extent of these payments in relation to your other income (revenue)?

14. Do you have any policies or procedures to address conflicts of interest or to prevent these payments or relationships from being considered when you provide advice to your clients?

15. If you allow plans to pay your consulting fees using a plan's brokerage commissions, how do you monitor the commissions paid and report to the plan?

16. If you allow plans to pay your consulting fees using the plan's brokerage commissions, what steps do you take to ensure that the plan receives best execution for its securities trades?

17. Do you have any arrangements with broker-dealers under which you or a related company will benefit if money managers place trades for their clients with such broker-dealers?

18. Will you acknowledge in writing that you have a fiduciary obligation as an investment adviser to the plan while providing the consulting services we are seeking?

19. Do you consider yourself a fiduciary with respect to the recommendations you provide the plan?

20. What percentage of your institutional clients utilize money managers, investment funds, brokerage services or other service providers from whom you receive fees?

21. Describe the various types of insurance and indemnification provided to protect clients of service(s) proposed, including specific dollar coverage.

OTHER REQUIREMENTS

1. Pre-Qualification: Inviting a response does not assume a "pre-qualification" of any proposer.

2. Preparation Cost: The Board will not be liable for any costs incurred in preparation of submissions.

3. Certification as to "Request for Proposal" Content: By submitting a proposal, it is understood and agreed that the responder has fully read and understands the "Request for Proposal" and has full knowledge of the scope, nature, quantity, and quality of work to be performed. Unless specified to the contrary, submitting a proposal will be interpreted as agreement to all provisions in and requirements of the RFP.

4. Additional Information and Instruction: The responder shall furnish such additional information as the Board may reasonably require. The Board reserves the right to investigate the qualifications of all responders as it deems appropriate.

5. Consultants are requested **NOT** to contact individual trustees during this RFP process. Any attempt by a proposer to initiate contact with any member of the Plan, other than the designated contacts, may disqualify the proposer from further consideration.

6. Rejection: The Board reserves the right to reject any or all proposals, the right in its sole discretion to accept the proposal which it considers most favorable to the Board's interest, and the right to waive minor irregularities in the procedures. The Board further reserves the right to seek new proposals when such a procedure is in its best interest.

7. Binding for 90 Days: All proposals submitted shall be binding for ninety (90) calendar days following the above due date for receipt of proposals to allow for evaluation.

8. Timeliness: Proposals received by the Board after the time specified for opening will not be considered.

9. Completeness: All information required by the Request for Proposal shall be supplied to constitute an acceptable submission.

The Plan appreciates the time and effort you will have expended in responding to this RFP. Thank you.